of India has also instructed CPSEs and all companies with the turnover of Rs.500 crore or more to get themselves on-boarded on the Trade Receivables Discounting System (TReDS), an electronic platform for facilitating the discounting of trade receivables of MSMEs through multiple financiers.

- **What does your ministry propose to do to make MSMEs competitive in the international market?**

MSMEs have to be competitive in order to survive and sustain in the highly competitive market, not just international but also domestic. As we all know, competitiveness has two main aspects, the first is cost and the second is quality. We can reduce the cost of production for MSMEs by reducing the cost of factors such as capital, technology, etc. We already have a series of schemes for this purpose. Our credit schemes are focused on both availability and cost of credit. We are trying to make it more broad based. So far as technology upgradation is concerned, the Credit Linked Capital Subsidy Scheme which was in operation till last year, has done well by providing capital subsidy to more than 87,000 MSEs. Our Technology Centres are also playing an important role in this direction. The creation of Common facility centres and common infrastructure will provide them access to improvised and modern technology with relatively lower cost. Our Cluster Development Programme is focused on this issue. A similar scheme viz. SFURTI is also there for rural and traditional industries. We are also planning to launch a new Capital Subsidy scheme for technology upgradation. A scheme for incentivizing MSEs to improve their process of production, is in pipeline. We do hope that all these measures will help MSMEs remain competitive in both domestic and international market.To make the MSME sector highly competitive, we are also working to ensure 'access to capital' and 'access to technology' for MSMEs. One of the essential conditions for bringing micro and small sector under the ambit of formal lending, is creation of a unified database. Udyam Registration, started by the Ministry in July 2020, will prove crucial in this regard. The Government of India has taken several measures and is working in close coordination with stakeholders to provide an enabling environment for promoting entrepreneurship, inclusive growth and sustainable development.



"ENSURING 'ACCESS TO CAPITAL' AND TECHNOLOGY' FOR ALL MSMEs" SHRI BHANU PRATAP SINGH MINISTER OF STATE FOR MSME

India is unique, both in diversity and in its challenges. It has embarked on its journey towards becoming a global powerhouse. India's transformation is not a onetime action but an ongoing journey that will require building capabilities to achieve the India of our dreams. Making this dream a reality will no doubt take significant effort, resources, and resilience. More important, different stakeholders will need to play their part right, to achieve the desired results.

The Ministry has taken several measures and is working in close coordination with stakeholders to provide an enabling environment for promoting entrepreneurship, inclusive growth and sustainable development. New policies will allow India to build global competitive advantages going forward.

"WE ARE ENSURING THAT MSMES HAVE ACCESS TO CAPITAL AND TECHNOLOGY AT AFFORDABLE PRICES"

The correlation between Indian economy and the MSME performance has never been more aligned. This would continue to grow even closer in the upcoming years. There is the strong need for special focus on aspirational districts that despite having sound prospects have not been able to perform to their full potential vis-à-vis the MSME sector. The Ministry is striving to promote these through a multi-pronged strategy that will facilitate access to information, credit, technology and marketing. Dynamic global economic scenario has opened up many opportunities to enhance productivity and tap new markets, both nationally and internationally especially for north eastern states. Covering 8% of countries land and 3.1 % of India's population, the North East region is a vintage entry point for the Southeast Asian markets. The region occupies 8.55% of the total tribal population of the country, hosting more than 200 fascinating tribes across the states. The Government of India has introduced forward looking policies and favourable schemes. Setting up of the National SC/ST Hub has been such an initiative with an aim to develop a supportive ecosystem for SC/ST entrepreneurs. To ensure a focused attention and development of MSMEs in North east region and to promote entrepreneurship, the Ministry of MSME has launched a special scheme- "Promotion of MSMEs in North Eastern Region and Sikkim" with an aim to strengthen industries like tourism, horticulture, food processing, agriculture. Under the Scheme, Government of India provides financial assistance to States for four components viz, Establishment and upgradation of Mini Technology Centers; Development of Industrial Estates; Capacity Building of Officers engaged in



BHANU PRATAP SINGH VERMA
Minister of State
Ministry of Micro, Small & Medium Enterprises

Promotion of MSMEs; and other activities regarding promotion of MSMEs in NE Region.

In this direction, to meet the technology related requirements of enterprises in the services sector, Ministry has launched Special Credit Linked Capital Subsidy Scheme (SCLCSS) for the services sector. The scheme has a provision of 25 % capital subsidy for procurement of Plant & Machinery and service equipments through credit to the SC-ST MSEs without any sector specific restrictions on technology upgradation. To enhance and strengthen the domestic manufacturing sector the GOI has introduced Production-Linked Incentive (PLI) scheme to boost domestic manufacturing capabilities in key sectors of the Indian economy. MSME industries such as tourism and hospitality can play a pivotal role in the economic development and growth of the northeastern and hilly parts of the country. The ministry is also focusing on bringing micro units under the ambit of the formal system of credit. Over the years the MSME sector is becoming more competitive. So, to boost its productivity it is imperative to provide access to capital and technology at affordable prices.

Over the last two years, numerous significant steps have been taken by the Government and regulators strengthening the MSME ecosystem and by especially introducing special provisions for SC ST owned MSMEs, it is credited with promoting inclusive socio-economic development. Looking at its growing significance, the government has brought renewed focus to ensure rapid growth of this crucial sector. Enhanced competitiveness, technology upgradation, skill development and improved infrastructure are some of the levers used by M/o MSME to attain this.